while the subsequent renewal fee should be treated as a revenue expenditure.

AUDITOR'S DUTY IN VALUATION

1. Patents must be valued at cost less depreciation. There may be three causes of depreciation, viz: (a) lapse of time, (b) obsolescence, and (c) the patented article going out of fashion.
2. At time a patent might become valueless due to obsolescence or failure to create a demand of the patented article. In such cases the auditor should see that its value is written off before the expiry of the period covered by the patent.

3. Copyrights

Copyright refers to the exclusive right to produce or re-produce or authorise for doing certain acts specified in the Copyright Act, 1957 in respect of some kind of literary, dramatic, musical, computer programme, cinematograph film, sound recording or artistic works. It is the legal right given to an author, which prohibits the publication of the work by other persons. The effects of such copyright is that the author or the publisher gets an exclusive right to publish or reproduce the work for a certain number of years or even it may be for the life time of the author or the publisher as the case may be. The verification of this item will be on the lines similar to those described under patents.

AUDITOR'S DUTY IN VERIFICATION

The auditor should also inspect the original agreement between the author and the publisher. Where there is purchase of copyright, verification of price paid should be from written agreement.

AUDITOR'S DUTY IN VALUATION

1. Copyright must be revalued at the date of the Balance Sheet.
2. Copyright that has become obsolete should not be valued and shown in the Balance Sheet. Hence, it is clear that copyright is to be valued only based on profit earning capacity.
3. Auditor should ensure that copyrights, which have expired, are written off.
4. In the Balance Sheet, generally copyrights must be shown at cost less amounts written off from time to time.

4. Trademarks

A registered and legalised brand name or brand mark is what is known as Trade Mark. It provides a better protection for goods and services and for the prevention of use of fraudulent marks. A trademark is a distinctive mark attached to goods offered for sale in the market, to distinguish the same from similar goods and to identify them with a particular trader, or with his successor as owner of the particular business.







AUDITOR'S DUTY IN VERIFICATION

1. Examine the certificates of registration issued by the Registrar.
2. Examine the last renewal fee receipt to ensure that the trademark has not been

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